EXECUTIVE SUMMARY

1. Introduction

"Allacapan: Premier Center of Commerce and Agro-Industry in the Northwestern Cagayan with God-loving, Self-reliant, rich in Culture and globally competitive citizenry living harmoniously in a healthy, ecologically balanced and sustainable environment supported by well-developed service facilities under good governance."

The Municipality of Allacapan, Province of Cagayan started as a district of the Municipality of Taoit, Mountain Province in 1926. It was ceded to Cagayan in 1928 and became a regular Municipality in 1945 by virtue of Commonwealth Act 5904.

Allacapan is a third class municipality as per income class and is composed of 27 barangays with a total population of 38,806 in 6,572 households (Actual data from the MHO based on BHW Census 2018). It is one of the municipalities in the north located about 25 kilometers west of the Magapit Suspension Bridge.

Allacapan, like any other local government unit exercises its powers and operating the same as provided in RA 7160 otherwise known as the Local Government Code of the Philippines. It discharges functions necessary for efficient and effective provision of the basic services and facilities such as infrastructure facilities, solid waste disposal, social and health services, information services, support for education, police and fire services and facilities. It also endeavors to be self-reliant and continues exercising the powers and discharging the duties and functions and responsibilities of national agencies as devolved.

2. Highlights of Financial Information

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2020, were P416,508,768.40, P76,069,876.30 and P340,438,892.10, with an increase/(decrease) of 9.91%, (1.82%) and 12.92%, respectively, from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P188,154,279.78 and P157,562,114.26, which increased by 19.38% and 20.88%, respectively, from last year's figures.

Particulars	2020	2019	Increase (Decrease)	
			Amount	Percentage
Financial Position				
Assets	P416,508,768.40	P378,960,069.71	P37,548,698.69	9.91%
Liabilities	76,069,876.30	77,480,084.09	(1,410,207.79)	(1.82%)
Govt. Equity	340,438,892.10	301,479,985.62	38,958,906.48	12.92%

Financial Performance				
Income	P188,154,279.78	P157,604,758.52	P30,549,521.26	19.38%
Expenses	157,562,114.26	130,342,599.86	27,219,514.40	20.88%
Appropriations, Allotments and Obligation				
Appropriations	P204,674,549.00	P159,661,408.34	P45,013,140.66	28.19%
Allotments	204,674,549.00	159,771,388.34	44,903,160.66	28.10%
Obligations	170,876,799.29	129,822,094.17	41,054,705.12	31.62%

Comparative Statement of Funds Transfer to and from NGAs, NGOs and POs.

Particulars	**2020**	**2019**	**Increase/(Decrease)**
Funds Transferred to Other Agencies:			
Due from NGAs	P40,205.51	P40,205.51	-
Due from GOCCs	16,653.70	16,653.70	-
Due from LGUs	335,550.40	337,192.61	(1,642.21)
Due from NGOs/POs	-	-	-
Others	-	-	-
TOTAL	**P392,409.61**	**P394,051.82**	**(P1,642.21)**
Funds Transferred from Other Agencies:			
Due to NGAs	P33,938,049.72	P41,309,235.25	(P7,371,185.53)
Due to GOCCs	207,344.97	244,565.83	(37,220.86)
Due to LGUs	2,722,021.27	1,919,298.17	802,723.10
Due to NGOs/POs	-	-	-
Others	-	-	-
TOTAL	**P36,867,415.96**	**P43,473,099.25**	**(P6,605,683.29)**

3. Independent Auditor's Opinion on the Financial Statements

We rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Allacapan, Cagayan as at December 31, 2020 due to the following:

1. The accuracy, validity and existence of Property, Plant and Equipment (PPE) with a net carrying amount of P272,544,839.23 as at December 31, 2020, representing 65% of total assets which increased from last year's ending balance by P39,186,807.50 (17%), could not be ascertained due to failure of the agency to conduct an annual physical inventory of the properties which is contrary with the existing rules and regulations prescribed under Section 156 of COA Circular No. 92-386 and Section 266 of the Government Accounting Manual (GAM) for Local Government Units.

2. The balance of the Road Networks amounting to P124,973,114.61, which represents 46% of total Property, Plant and Equipment as of December 31, 2020, could not be relied upon due to improper accounting and reporting on local road

asset management embodied in COA Circular No. 2015-008, thus impairing the accuracy and validity of the LGU's road networks account.

4. Summary of Significant Audit Observations and Recommendations

The findings and recommendations were discussed with LGU officials and employees. Management comments were incorporated in the report, where appropriate. The significant findings and recommendations are as follows:

1. The accuracy, validity and existence of Property, Plant and Equipment (PPE) with a net carrying amount of P272,544,839.23 as at December 31, 2020, representing 65% of total assets which increased from last year's ending balance by P39,186,807.50 (17%), could not be ascertained due to failure of the agency to conduct an annual physical inventory of the properties which is contrary with the existing rules and regulations prescribed under Section 156 of COA Circular No. 92-386 and Section 266 of the Government Accounting Manual (GAM) for Local Government Units.

   We recommended that the Inventory Committee conduct physical inventory of the properties of the municipality and to prepare a report thereon to be submitted to the Municipal Accountant for reconciliation with that of the accounting records. Submit the same to the auditor concerned pursuant to COA Circular No. 92-386 dated October 20, 1992, Section 266 of the GAM for LGUs and Section 122 of P. D. 1445.

2. The balance of the Road Networks amounting to P124,973,114.61, which represents 46% of total Property, Plant and Equipment as of December 31, 2020, could not be relied upon due to improper accounting and reporting on local road asset management embodied in COA Circular No. 2015-008, thus impairing the accuracy and validity of the LGU's road networks account.

   To fairly present the book value of the Road Networks account in the Financial Statements of the Municipality, we recommended that the Municipal Mayor direct the:

   1. GSO and the Municipal Engineer to update the Inventory Report of all Local Road Networks of the LGU as of December 31, 2020;

   2. GSO and the Municipal Engineer to evaluate the Local Road Inventory Report and reconcile with the accounting records to facilitate the reporting of the municipality's road network system;

   3. Municipal Accountant to adjust the books for discrepancies noted, prepare the Local Road Network Ledger Card, subsidiary ledgers and the required disclosures in the notes to the financial statements;

4. Municipal Engineer to provide the Municipal Accountant and the GSO with the complete description and cost segregation of the road components for road project.

5. The Municipal Assessor for the costing of the land where the local road networks were erected.

3. Purchased medical, dental and laboratory supplies costing P953,927.00 were taken up as outright expenses instead of inventories which were not in conformity with existing rules and regulations, hence, the affected accounts were not presented fairly in the books of accounts of the LGU.

   We recommended that the Municipal Accountant take up the medical/dental/laboratory supplies for distribution as inventories upon purchase/receipt thereof and the corresponding expense accounts only upon distribution to present fairly the accounts in the books of the LGU for the benefit of all users of the information. Further, she should prepare and submit journal entry vouchers (JEVs) taking up periodic adjustments for the undistributed balance of the same, if any and the erroneous recording of various purchases of medical, dental and laboratory supplies.

4. Payment of monthly honorarium in the amount of P30,000,00 to the assigned Doctor to the Barrios in the municipality was granted in excess of the allowable amount which is not in conformity with Local Budget Circular No. 62 and considered an excessive expenditure as defined in COA Circular No. 2012-003.

   We recommended management to stop the grant of honorarium more than the allowable rate and strictly observe the provisions of LBC Nos. 62 and 102 in the granting of honorarium to national government officials assigned in the local government unit.

5. Summary of Total Suspension, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	
Disallowances					
Prior Years	2,706,076.02	-	12,000.00	2,694,076.02	0.44%
Current Year	-	-	-	-	-
Total	**2,706,076.02**	**-**	**12,000.00**	**2,694,076.02**	**0.44%**
Charges					

Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the thirteen (13) audit recommendations in prior years, five (5) were fully implemented, seven (7) were partially implemented and the remaining one (1) was not implemented.